
CHURN IS DEAD

The CFO Lens Audit

A diagnostic tool for measuring CS impact through financial models CFOs actually use

This audit translates your CS metrics into the financial language that determines your budget. Complete each section to identify gaps between your CS reporting and CFO decision-making.

Scoring: Rate each item 1-5. 1 = not tracking, 5 = embedded in CFO reporting.

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SECTION 1

Unit Economics Reality

CFOs calculate true cost per retained dollar including all overhead, not just direct CS costs. This metric determines whether CS investment is economically viable.

Financial Metric	What Good Looks Like	What Bad Looks Like
Fully-loaded CS cost calculation	Includes salary, benefits, tools, management, recruiting, training, office allocation	Only includes base salary and obvious tools
Incremental retention measurement	Measures retention above baseline (what you'd achieve with zero CS)	Reports total retention as CS-driven
Cost per retained dollar	\$0.20-0.30 including all overhead and opportunity cost	\$0.40+ or calculation excludes major cost categories
Customer margin adjustment	Weights retention by contribution margin, not just ARR	Treats all retained revenue equally regardless of profitability

Score This Section

Criteria	Score
We track fully-loaded cost per incremental retained dollar	1-5
Our CFO uses our unit economics in budget decisions	1-5
We can defend our cost ratios vs industry benchmarks	1-5

Your Score: ____ / 5

SECTION 2

Investment Payback Timeline

CFOs compare CS payback periods to sales, marketing, and product investments. Longer payback periods lose budget battles regardless of eventual ROI.

Timeline Metric	What Good Looks Like	What Bad Looks Like
CS hire ramp tracking	Measure productivity month-by-month from hire to steady-state	Assume immediate impact from new CS hires
Payback calculation method	Track when cumulative prevented churn exceeds total investment cost	Use simple ratios without time-value considerations
Payback period benchmarking	12-15 months to positive ROI including ramp costs	18+ months or unclear methodology
Comparative investment analysis	Compare CS payback to sales, marketing, product investment options	Evaluate CS ROI in isolation

Score This Section

Criteria	Score
We track time-to-positive-ROI for CS investments	1-5
Our payback periods compare favorably to other revenue investments	1-5
We adjust investment decisions based on payback analysis	1-5

Your Score: ____ / 5

SECTION 3

Opportunity Cost Analysis

Every CS dollar could generate returns in sales, marketing, or product. CFOs constantly evaluate whether CS investment outperforms alternatives.

Comparison Metric	What Good Looks Like	What Bad Looks Like
ROI comparison framework	Consistent methodology comparing CS ROI to sales, marketing, product	CS metrics incomparable to other department metrics
Capital efficiency ranking	CS ranks in top 2 of 4 revenue-generating investments	CS consistently underperforms other growth investments
Investment reallocation modeling	Model impact of shifting budget between CS, sales, marketing	Defend CS budget without considering alternatives
Marginal dollar analysis	Know ROI of next CS hire vs next sales hire vs product investment	Can't answer 'best use of next \$100K' question

Score This Section

Criteria	Score
We can compare CS ROI to sales/marketing ROI using same methodology	1-5
Our CFO includes us in cross-functional investment discussions	1-5
We proactively model alternative uses of CS budget	1-5

Your Score: ____ / 5

SECTION 4

Risk-Adjusted Value Calculation

CFOs discount CS impact claims that conflate correlation with causation. Credible attribution models separate true CS influence from natural customer behavior.

Attribution Method	What Good Looks Like	What Bad Looks Like
Revenue-weighted metrics	Health scores and retention rates weighted by customer value	Treat \$2K and \$200K customers equally in metrics
Natural expansion adjustment	Separate expansion CS influenced from expansion that was inevitable	Claim credit for all expansion in CS-touched accounts
Statistical confidence intervals	Report confidence levels on CS impact claims (70%+ defensible)	Present correlation-based metrics as causation
Economic impact vs activity	Measure prevented churn cost, not prevented churn volume	Focus on retention rates rather than economic value retained

Score This Section

Criteria	Score
We can statistically defend 70%+ of claimed CS impact	1-5
Our metrics focus on economic impact, not activity volume	1-5
We adjust for natural customer behavior in impact calculations	1-5

Your Score: ____ / 5

CHURN IS DEAD

Your Scorecard

Dimension	Your Score	Max
1. Unit Economics Reality	_____	5
2. Investment Payback Timeline	_____	5
3. Opportunity Cost Analysis	_____	5
4. Risk-Adjusted Value Calculation	_____	5
TOTAL	_____	20

Total Score	Assessment	What It Means
16-20	Uncuttable	Embedded, measurable, strategically irreplaceable.
12-15	Defensible	Solid but gaps remain. Focus on lowest dimension.
8-11	Vulnerable	Real risk ahead. Treat as urgent.
4-7	Critical	Cannot survive scrutiny. Major changes needed.

What to do next: Take your lowest-scoring section and build a 30-day action plan. One at a time. Then share this with leadership -- not to ask permission, but to show you know where the gaps are.

Master both customer success and the economics that fund their success.

-- Kuber

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